

INDIAN ECONOMY

LEVEL
II



LECTURES

- REGIONAL AND NATIONAL PLANNING
- IMPERATIVE PLANS AND INDICATIVE PLANS
- SYSTEMS AND NORMATIVE APPROACHES
- PLANNING COMMISSION AND NDC

MODULE - 6



REGIONAL PLANNING AND NATIONAL PLANNING

1

REGIONAL PLANNING



- It was the regional level planning that was used as a part of development policy by any Country for the first time.
- Tennessee Valley Authority (TVA) to take care of the largescale rehabilitation in seven States of South-Eastern USA – was set up in 1916.
- Subsequently, it became a role model for the Regional level planning with well defined goals.
- In fact, the Damodar Valley Corporation (DVC) in India has a cue from this regional planning of TVA.

REGIONAL PLANNING AND NATIONAL PLANNING

2

NATIONAL PLANNING



*The famous Soviet slogan was
"Giant Leap Forward".*

- We need not emphasize once again that **Soviet Union** was the **pioneer** in National Planning.
- Soviet Union was **not happy** with the pace of **industrialization**.
- Joseph Stalin announced in **1928**, the policy of Central Planning.
- Massive **state-led industrialization**, collectivization of agriculture are the primary initiatives of the **Stalin policy** in **1928**.
- Hence, the **1st Five Year Plan** pertains to Soviet Union.
- **France** was the first democratic country to start **economic planning** at the national level.

1

IMPERATIVE PLANNING

- Here, States control most of the ownership rights over the resources.
- Quantitative targets are given for growth and development.
- No role/marginal role for the market forces.
- State plays the major economic role.
- These are also known as “Centrally planned economies”.
- Examples are USSR, Poland, Hungary, Austria, Romania etc.

Most of the state economies had moved towards market economy by the late 1980s. Since then none of the Countries have followed Imperative Planning.

2

INDICATIVE PLANNING

- Indicative Planning works through the market mechanisms.
- These are generally the mixed economies.
- They set economic policies, which are indicative in nature.
- France commenced its 1st Five year plan in 1947, which was known as “Monnet Plan”. It became synonymous with indicative planning.
- US never gone for national level planning, but the “presidential reports” reflect indicative planning in USA.

The idea of Indicative planning is that any growth target could only be achieved, when public and private enterprises work in tandem.

WHY INDIA PREFERRED IMPERATIVE PLANNING AFTER INDEPENDENCE?



- Great Depression of 1929, when the capitalist countries were effected.
- Famous Soviet slogan of “Great Leap Forward” towards rapid industrialisation.
- Emphasis on heavy industries had the soviet bias and also a cue from the France planning process.
- There was broader agreement between National Planning Committee and Bombay Plan, prior to independence, on major industrialisation.
- Capitalist Countries were turning towards welfare measures after Great Depression. Hence, market capitalism casted doubts in the minds of the people after the Great Depression.

STRATEGIC SHIFT IN INDIA IN 1990s



WORLD TRADE
ORGANIZATION

SHIFT FROM IMPERATIVE TO INDICATIVE!

- India had heavy **bias** towards **imperative planning** since independence.
- But with **economic liberalization**, the planning process transformed towards **indicative planning**, since 1990s.
- With the development models through **Washington Consensus**, trade architecture through WTO, **Indicative Planning** is only possible.
- State's role assumed **significance** in various social performance indicators like **nutrition, healthcare**, drinking water, education etc.

SYSTEMS APPROACH AND NORMATIVE APPROACH

1 SYSTEMS APPROACH

- It is value neutral.
- Socio-cultural aspects are not given much importance.
- It is targeting various goals in a mechanical way.
- It has neutrality to the social diversities.



GiveltUp is an example of Normative Approach!

2 NORMATIVE APPROACH

- It is value based.
- It conforms to the value system of target population.
- It is diversified approach to development.
- With the raising acceptance of the behavioural economics, now normative approach is gaining ground.
- Economic Survey, 2010-11 is the first government document, which advocated the need for Normative Approach.

NITI AAYOG EMPHASIZES NORMATIVE APPROACH!

WHAT ARE THE EXAMPLES?



Behavioural change in preventing open defecation.



Asking the rich to give up LPG subsidy.

These highlight the behavioural dynamics of the economy.

SIX MAJOR OBJECTIVES OF PLANNING

1 ECONOMIC GROWTH

Sustained increase in the levels of production in the economy is the most important objective of planning in India.



2 POVERTY ALLEVIATION

- Several programmes have been launched in independent India towards poverty alleviation by all the Governments.
- After 2000s, MGNREGA is more serious in nature towards poverty alleviation.



SIX MAJOR OBJECTIVES OF PLANNING

3

EMPLOYMENT GENERATION

- It is part and parcel of the objective of poverty alleviation.
- General programmes and schemes have been launched from time to time, some based on the wage employment, other based on self employment.



4

CONTROLLING ECONOMIC INEQUALITY

- Indian planning has socio-economic objectives to fulfil.
- In the planning process, only economic planning was made part of.
- Social planning is left to the political executive and the legislatures.



SIX MAJOR OBJECTIVES OF PLANNING

5 SELF RELIANCE

- It was an effort to strike against a **sub-ordinate position** in the World economy.
- As Jawaharlal Nehru said, self reliance **does not exclude international trade**, which would be encouraged with a view to **avoid economic imperialism**.
- India still strives for **self reliance** in majority of the fields of the economy.

6 MODERNISATION

- Modernising the **traditional economy** was the foremost objective.
- However, there were several lapses like **mechanisation of agriculture**, development of world class educational institutions etc.

However, with the advent of NITI Aayog, the entire planning process has taken a new turn.

THE PREVAILING ENVIRONMENT AND THOUGHT PROCESS BEFORE THE ESTABLISHMENT OF PLANNING COMMISSION



- Jawaharlal Nehru influenced by Soviet-era planning.
- Establishment of Department of Planning and Development by the British Government in 1944.
- High Level Advisory Planning Board was established in 1946.
- Practically, it was not possible for nationalization of means of production. Minimum use of compulsion / coercion for realignment of productive forces.
- Resources available through the public sector have to be utilized for investment along new areas.
- In certain cases, public ownership of the means of production may be necessary. Public regulation and control was required in other cases.
- Private sector will continue to play important role in production as well as distribution.

A BRIEF ON PLANNING COMMISSION



- Established in 1950.
- Set up through Cabinet Resolution.
- No legislation.
- Extra-constitutional and non-statutory body.
- It was an advisory body to the Government.
- PM was its ex-officio Chairman.
- Government appoints a Deputy Chairman.
- The first Deputy Chairman was Gulzarilal Nanda.
- It was linked with the Union Cabinet at the Secretariat level and the Planning Commission was not part of the Union Cabinet.

Planning is in the Concurrent List.

WHAT WERE THE MAJOR FUNCTIONS OF THE PLANNING COMMISSION?



Subsequent to the economic reforms of 1991, it had to monitor future dimensions of economic reforms with the help of Steering Committees.

- 1** Assessment of **Material, Capital and Human resources**, including technical personnel and formulation of proposals.
- 2** Formulation of plans for effective and balanced utilization of **resources**.
- 3** Defining **various stages**, in which the plan should be carried out.
- 4** Appraising the **progress** achieved from time to time.
- 5** Identifying the factors, which can **retard economic development** and coming up with recommendations.

WHAT DO YOU KNOW ABOUT NATIONAL DEVELOPMENT COUNCIL (NDC)?



The legal status of the National Development Council is similar to the Planning Commission.

- It was set up on August 6, 1952.
- Established through an executive resolution.
- It is also a non-statutory body.
- The main purpose is to act as a bridge between the Planning Commission and the States.
- One can conclude that it is to strengthen the principles of cooperative federalism.
- It gives unified outlook to the planning process.

NATIONAL DEVELOPMENT COUNCIL (NDC)

CONSTITUENTS

- Headed by the Prime Minister.
- Chief Ministers of all States and Uts.
- All Union Cabinet Ministers.
- Members of the Planning Commission.
- Lt Governors of UTs.
- Other Union Ministers and State Ministers as needed in deliberations.

FUNCTIONS

- To consider and accept the proposals formulated in the plan.
- Review the progress and working of plans from time to time.
- Recommend measures needed to be taken to achieve the aims and targets.
- Discussions on important questions of social and economic policy.



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